

Asset Bubbles

What They Are and How to Protect Yourself When they Burst

An asset bubble occurs when the prices of assets are overinflated due to an excess of demand. It occurs when there is a lot of money in the system, interest rates are relatively low, credit is easy, unemployment is low. It occurs at a time when economic confidence is high.

Asset bubbles can affect many assets, including commodities, real estate and stocks. At the time of a bubble, there is usually euphoria and a widespread sense of excitement. Price rises are justified by reasoning and the expectation of further increases in price. After several years of a depressed market, prices begin to rise in the wake of an economic boom. Such a relentless price rise was witnessed in the Indian stock markets through 2006 and 2007, finally culminating on 8 January 2008 when the Bombay Stock Exchange Sensitivity Index (Sensex) soared to a high of 21,078. At the time, the euphoria was so great that there were predictions that the Sensex would soar to 50,000 by June 2008. Real estate prices, too, rose in tandem. Credit was easy. Interest rates were relatively low. There was jubilation in the air.

Bubbles burst. When the euphoria becomes unsustainable a crash is inevitable. In the third week of January 2008, the Sensex witnessed great falls. On 21 January 2008, the Sensex fell by 1,408 points. Later, it went into a free fall, falling month on month to close below 9,000 in November 2008. Other assets too fell in sync as demand petered out in the face of an economic depression. There was a similar burst of an asset bubble after the Harshad Mehta scam in 1992-93 and in 2001-2002.

In stock markets, an asset bubble is an extended period of extreme overvaluation. Bubbles occur when there is excessive speculation. As opposed to viewing the intrinsic value of a share (based on fundamental analysis), speculators focus on its resale value. An asset is bought in the expectation that it would double or triple in a relatively short time. Rumours fly. Examples are cited of investors who have made huge killings.